

UCHUMI SUPERMARKETS LIMITED
(IN RECEIVERSHIP) AND SUBSIDIARIES

ANNUAL REPORT
AND FINANCIAL STATEMENTS

30 JUNE 2009

ERNST & YOUNG

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
REPORT OF THE SPECIALIST RECEIVER MANAGER AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2009

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UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
COMPANY INFORMATION
FOR THE YEAR ENDED 30 JUNE 2009

PRINCIPAL PLACE OF BUSINESS

Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

REGISTRARS

Funguo Registrars Limited
Uchumi House
Moi Avenue
P.O Box 1133
00200 NAIROBI.

REGISTERED OFFICE

Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

SPECIALIST RECEIVER MANAGER

Jonathan Ciano
Uchumi Supermarkets Limited (In Receivership)
Yarrow Road
P. O. Box 73167
00200 NAIROBI.

BANKERS

Kenya Commercial Bank Limited
Kencom House
Moi Avenue
P. O. Box 48400
00100 NAIROBI.

Eastern and Southern African Trade and
Development Bank (PTA Bank)
NSSF Building
Bishops Road
P. O. Box 48596
00100 NAIROBI.

Barclays Bank of Kenya Limited
Barclays Plaza
Loita Street
P. O. Box 30120
00100 NAIROBI.

Equity Bank Limited
NHIF Building
P. O Box 75104
00200 NAIROBI.

AUDITORS

Ernst & Young
Kenya Re Towers - Upper Hill
P. O. Box 44286
00100 NAIROBI.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
REPORT OF THE SPECIALIST RECEIVER MANAGER
FOR THE YEAR ENDED 30 JUNE 2009

The Specialist Receiver Manager submits his report and the audited financial statements for the year ended 30 June 2009 which show the state of the group's affairs.

1. PRINCIPAL ACTIVITIES

The principal activity of the company is that of operating retail supermarkets. The activities of the subsidiary companies are those recorded in note 7 to the financial statements.

2. OPERATIONS OF THE COMPANY

On 31 May 2006, the Board and Management of Uchumi Supermarkets Limited passed a resolution to cease trading and the company operations were shut down, a closure that lasted from 1 June 2006 to 14 July 2006.

Following the decision to cease trading, the company's debenture holders were compelled to appoint Receiver Managers on 02 June 2006. Subsequently, the Government of Kenya appointed a Task Force, in collaboration with the debenture holders, to work out a 'rescue plan' for the company. On the recommendation of the Task Force, a Framework Agreement relating to a business rescue plan was drawn and was entered into between the company, debenture holders, the Government of Kenya and unsecured creditors.

On 14 July 2006, the debenture holders appointed a Specialist Receiver Manager and the company re-opened for operations on 15 July 2006.

The group has put in place the Uchumi Rescue Plan (URP) whose mandate is derived from a 'Framework Agreement' with the Government of Kenya and other stakeholders aimed at turning around the business. The Specialist Receiver Manager has been implementing the URP since July 2006.

In a special shareholders' briefing meeting held on 28 July 2009, shareholders appreciated the fact that addressing the negative shareholders' funds was a key hurdle on the path to lifting of receivership. They, therefore, made the following declarations which management is currently pursuing:

- i) Shareholders are expected to cure the negative shareholders' funds by converting existing debentures into equity.
- ii) Shareholders will take the challenge to address the negative shareholders' funds and settle or reduce the outstanding loans of KShs.1.2 billion as at December 2009 owed to the Government of Kenya, PTA Bank and Kenya Commercial Bank. This includes all accrued interest as of 31 December 2009.
- iii) Shareholders endorsed the professional valuation of the company to support conversion of debentures into equity. They agreed to subscribe to additional shareholding by participating in convertible debenture issue by 31 October 2009 with a view to raising up to KShs.1.2 billion as explained in (ii) above.
- iv) In the event that there is a shortfall from the debenture exercise, shareholders endorsed that the Specialist Receiver Manager may approach the current debenture holders (Government of Kenya, PTA Bank and Kenya Commercial Bank) to consider converting their loans into equity.
- v) As a final strategy, re-open the Strategic Equity Partners' route where the above proposals do not meet the required threshold.

REPORT OF THE INDEPENDENT AUDITORS
TO THE SPECIALIST RECEIVER MANAGER OF
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES

We have audited the accompanying financial statements of Uchumi Supermarkets Limited (In Receivership) and its subsidiaries as set out on pages 7 to 42, which comprise the balance sheet of the group and the company as at 30 June 2009 and the income statement, statement of changes in equity, and cash flow statement of the group and the company for the year then ended and a summary of significant accounting policies and other explanatory notes.

SPECIALIST RECEIVER MANAGER'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Specialist Receiver Manager is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

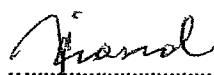
OPINION

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the group and of the company as at 30 June 2009 and of the profit and cash flows of the group and the company for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEET
AS AT 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000 Restated
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3 (a)	685,476	607,286
Investment properties	4	450,000	-
Intangible assets	5	26,346	-
Prepaid operating lease rentals	6	20,555	122,121
Deferred tax asset	8	<u>216,659</u>	<u>-</u>
		<u>1,399,036</u>	<u>729,407</u>
CURRENT ASSETS			
Inventories	9	607,949	622,484
Trade and other receivables	10	219,880	126,620
Tax recoverable	12.1	115	115
Short term deposits	27	100,000	22,000
Bank and cash balances	27	<u>113,438</u>	<u>107,405</u>
		<u>1,041,382</u>	<u>878,624</u>
TOTAL ASSETS		<u>2,440,418</u>	<u>1,608,031</u>
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	13	900,000	900,000
Reserves	14	<u>(1,080,495)</u>	<u>(1,925,131)</u>
		<u>(180,495)</u>	<u>(1,025,131)</u>
NON-CURRENT LIABILITIES			
Term loans	15	<u>820,089</u>	<u>1,180,089</u>
CURRENT LIABILITIES			
Trade and other payables	16	1,097,016	866,122
Deferred revenue	17	37,310	18,572
Amounts due to related parties	11	14,094	7,962
Debenture loan	15	207,437	207,437
Term loans	15	360,000	340,000
Bank overdraft	18	<u>84,967</u>	<u>12,980</u>
		<u>1,800,824</u>	<u>1,453,073</u>
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		<u>2,440,418</u>	<u>1,608,031</u>

The financial statements were approved on 12/1/10 2009 and signed on its behalf by:-



Specialist Receiver Manager

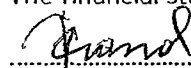
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000
REVENUE			
Sales	19	8,202,221	6,757,711
Income from redemption of loyalty points	17	<u>30,622</u>	<u>34,643</u>
		8,232,843	6,792,354
COST OF SALES	20	<u>(6,750,138)</u>	<u>(5,552,902)</u>
		1,482,705	1,239,452
OTHER INCOME	21	<u>266,709</u>	<u>309,579</u>
		<u>1,749,414</u>	<u>1,549,031</u>
EXPENSES:-			
Administration and establishment	22	(1,303,448)	(1,167,401)
Selling and distribution	23	<u>(115,560)</u>	<u>(107,007)</u>
		<u>(1,419,008)</u>	<u>(1,274,408)</u>
PROFIT FROM OPERATING ACTIVITIES		330,406	274,623
FINANCE COSTS	24	<u>(160,484)</u>	<u>(168,522)</u>
PROFIT BEFORE TAX	25	169,922	106,101
INCOME TAX CREDIT/(EXPENSE)	12.2	<u>250,708</u>	<u>(11,032)</u>
PROFIT FOR THE YEAR		<u>420,630</u>	<u>95,069</u>
EARNINGS PER SHARE			
Basic and diluted	26	<u>2.34</u>	<u>0.53</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
BALANCE SHEET OF THE COMPANY
AS AT 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(b)	664,063	581,089
Intangible assets	5	26,346	-
Prepaid operating lease rentals	6	20,555	20,826
Investment in subsidiaries	7	60,200	60,000
Deferred tax asset	8	<u>216,659</u>	<u>-</u>
		<u>987,823</u>	<u>661,915</u>
CURRENT ASSETS			
Inventories	9	546,742	561,201
Trade and other receivables	10	170,641	123,660
Amounts due from related parties	11	255,440	249,921
Tax recoverable	12.1	115	115
Short term deposits	27	100,000	22,000
Bank and cash balances	27	<u>61,888</u>	<u>37,361</u>
		<u>1,134,826</u>	<u>994,258</u>
TOTAL ASSETS		<u>2,122,649</u>	<u>1,656,173</u>
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	13	900,000	900,000
Reserves	14	<u>(1,284,415)</u>	<u>(1,750,087)</u>
		<u>(384,415)</u>	<u>(850,087)</u>
NON CURRENT LIABILITIES			
Term loans	15	<u>820,089</u>	<u>1,180,089</u>
CURRENT LIABILITIES			
Trade and other payables	16	983,167	739,220
Deferred revenue	17	37,310	18,572
Amount due to related parties	11	14,094	7,962
Debenture loan	15	207,437	207,437
Term loans	15	360,000	340,000
Bank overdraft	18	<u>84,967</u>	<u>12,980</u>
		<u>1,686,975</u>	<u>1,326,171</u>
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		<u>2,122,649</u>	<u>1,656,173</u>

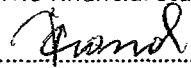
The financial statements were approved on 12/10/1 2009 and signed on its behalf by:-

 Specialist Receiver Manager

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
BALANCE SHEET OF THE COMPANY
AS AT 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(b)	664,063	581,089
Intangible assets	5	26,346	-
Prepaid operating lease rentals	6	20,555	20,826
Investment in subsidiaries	7	60,200	60,000
Deferred tax asset	8	<u>216,659</u>	<u>-</u>
		<u>987,823</u>	<u>661,915</u>
CURRENT ASSETS			
Inventories	9	546,742	561,201
Trade and other receivables	10	170,641	123,660
Amounts due from related parties	11	255,440	249,921
Tax recoverable	12.1	115	115
Short term deposits	27	100,000	22,000
Bank and cash balances	27	<u>61,888</u>	<u>37,361</u>
		<u>1,134,826</u>	<u>994,258</u>
TOTAL ASSETS		<u>2,122,649</u>	<u>1,656,173</u>
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	13	900,000	900,000
Reserves	14	<u>(1,284,415)</u>	<u>(1,750,087)</u>
		<u>(384,415)</u>	<u>(850,087)</u>
NON CURRENT LIABILITIES			
Term loans	15	<u>820,089</u>	<u>1,180,089</u>
CURRENT LIABILITIES			
Trade and other payables	16	983,167	739,220
Deferred revenue	17	37,310	18,572
Amount due to related parties	11	14,094	7,962
Debenture loan	15	207,437	207,437
Term loans	15	360,000	340,000
Bank overdraft	18	<u>84,967</u>	<u>12,980</u>
		<u>1,686,975</u>	<u>1,326,171</u>
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		<u>2,122,649</u>	<u>1,656,173</u>

The financial statements were approved on 12/10/1 2009 and signed on its behalf by:-

 Specialist Receiver Manager

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000
REVENUE			
Sales	19	8,202,221	6,757,711
Income from redemption of loyalty points	17	<u>30,622</u>	<u>34,643</u>
		8,232,843	6,792,354
COST OF SALES	20	<u>(6,750,138)</u>	<u>(5,552,902)</u>
		1,482,705	1,239,452
OTHER INCOME	21	<u>266,709</u>	<u>309,579</u>
		<u>1,749,414</u>	<u>1,549,031</u>
EXPENSES:-			
Administration and establishment	22	(1,303,448)	(1,167,401)
Selling and distribution	23	<u>(115,560)</u>	<u>(107,007)</u>
		<u>(1,419,008)</u>	<u>(1,274,408)</u>
PROFIT FROM OPERATING ACTIVITIES		330,406	274,623
FINANCE COSTS	24	<u>(160,484)</u>	<u>(168,522)</u>
PROFIT BEFORE TAX	25	169,922	106,101
INCOME TAX CREDIT/(EXPENSE)	12.2	<u>250,708</u>	<u>(11,032)</u>
PROFIT FOR THE YEAR		<u>420,630</u>	<u>95,069</u>
EARNINGS PER SHARE			
Basic and diluted	26	<u>2.34</u>	<u>0.53</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
INCOME STATEMENT OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000
REVENUE			
Sales	19	7,321,314	5,942,783
Income from redemption of loyalty points	17	<u>30,622</u>	<u>34,643</u>
		7,351,936	5,977,426
COST OF SALES	20	<u>(6,026,531)</u>	<u>(4,887,617)</u>
		1,325,405	1,089,809
OTHER INCOME	21	<u>231,681</u>	<u>420,205</u>
		<u>1,557,086</u>	<u>1,510,014</u>
EXPENSES:-			
Administration and establishment	22	(1,158,521)	(1,021,303)
Selling and distribution	23	<u>(102,566)</u>	<u>(99,020)</u>
		<u>(1,261,087)</u>	<u>(1,120,323)</u>
PROFIT FROM OPERATING ACTIVITIES		295,999	389,691
FINANCE COSTS	24	<u>(160,484)</u>	<u>(169,596)</u>
PROFIT BEFORE TAX	25	135,515	220,095
INCOME TAX CREDIT/ (EXPENSE)	12.2	<u>250,708</u>	<u>(11,032)</u>
PROFIT FOR THE YEAR		<u>386,223</u>	<u>209,063</u>
EARNINGS PER SHARE			
Basic and diluted	26	<u>2.15</u>	<u>1.16</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2009

	Note	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Translation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2007		900,000	662,882	139,638	(12,979)	(2,788,991)	(1,099,450)
Prior year adjustment	34	-	-	-	-	(21,132)	(21,132)
Restated balance at 1 July 2007		900,000	662,882	139,638	(12,979)	(2,810,123)	(1,120,582)
Transfer of depreciation for revalued freehold land and buildings		-	-	(3,266)	-	3,266	-
Deferred tax on transfer		-	-	980	-	(980)	-
Profit for the year		-	-	-	-	95,069	95,069
Translation differences		-	-	-	382	-	382
At 30 June 2008		<u>900,000</u>	<u>662,882</u>	<u>137,352</u>	<u>(12,597)</u>	<u>(2,712,768)</u>	<u>(1,025,131)</u>
At 1 July 2008		900,000	662,882	137,352	(12,597)	(2,712,768)	(1,025,131)
Accumulated gain on investment properties	4	-	-	-	-	348,705	348,705
Revaluation of land and buildings		-	-	113,498	-	-	113,498
Deferred income tax on revaluation of land and buildings		-	-	(34,049)	-	-	(34,049)
Deferred tax on revaluation surplus		-	-	(1,822)	-	1,822	-
Deferred tax on transfer		-	-	547	-	(547)	-
Profit for the year		-	-	-	-	420,630	420,630
Translation differences		-	-	-	(4,148)	-	(4,148)
At 30 June 2009		<u>900,000</u>	<u>662,882</u>	<u>215,526</u>	<u>(16,745)</u>	<u>(1,942,158)</u>	<u>(180,495)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
STATEMENT OF CHANGES IN EQUITY OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2009

	Note	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2007		900,000	662,882	139,638	(2,761,670)	(1,059,150)
Transfer of depreciation for revalued freehold land and buildings		-	-	(3,266)	3,266	-
Deferred tax on transfer		-	-	980	(980)	-
Profit for the year		-	-	-	209,063	209,063
At 30 June 2008		<u>900,000</u>	<u>662,882</u>	<u>137,352</u>	<u>(2,550,321)</u>	<u>(850,087)</u>
At 1 July 2008		900,000	662,882	137,352	(2,550,321)	(850,087)
Revaluation surplus on land and buildings	3(b)	-	-	113,498	-	113,498
Deferred tax on revaluation surplus		-	-	(34,049)	-	(34,049)
Transfer of depreciation for freehold land and buildings		-	-	(1,822)	1,822	-
Deferred tax on transfer		-	-	547	(547)	-
Profit for the year		-	-	-	386,223	386,223
At 30 June 2009		<u>900,000</u>	<u>662,882</u>	<u>215,526</u>	<u>(2,162,823)</u>	<u>(384,415)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED CASH FLOW STATEMENT
FOR THE YEAR ENDED 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before income tax		169,922	106,101
Adjustments for:			
Depreciation on property, plant and equipment		64,014	105,977
Amortisation of prepaid operating lease rentals		271	1,410
Amortisation of intangible assets		2,778	-
Reversal of impairment on Kasarani Mall Limited		(200)	-
Profit on sale of property, plant and equipment		<u>(1,421)</u>	<u>-</u>
Operating profit before working capital changes		235,364	213,488
Trade and other receivables		(93,260)	(10,363)
Due to related parties		5,047	(148)
Inventories		14,535	(102,434)
Trade and other payables		230,894	(97,046)
Deferred revenue		<u>18,738</u>	<u>18,572</u>
Net cash generated from operating activities		<u>411,318</u>	<u>22,069</u>
INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(27,421)	(16,948)
Proceeds from disposal of plant and equipment		1,421	-
Purchase of intangible assets		<u>(29,124)</u>	<u>-</u>
Net cash used in investing activities		<u>(55,124)</u>	<u>(16,948)</u>
FINANCING ACTIVITIES			
Repayments on long term borrowing		(340,000)	(150,430)
Proceeds from debenture loan		<u>-</u>	<u>185,437</u>
Net cash (used)/generated from financing activities		<u>(340,000)</u>	<u>35,007</u>
NET INCREASE IN CASH AND CASH EQUIVALENTS		16,194	40,128
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		116,425	75,915
Effects of exchange rate movements on cash and cash equivalents		<u>(4,148)</u>	<u>382</u>
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	27	<u>128,471</u>	<u>116,425</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CASH FLOW STATEMENT OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2009

	Note	2009 KShs'000	2008 KShs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before income tax		135,515	220,095
Adjustments for:			
Depreciation on property, plant and equipment		56,910	87,631
Amortisation of prepaid operating lease rentals		271	271
Reversal of impairment on investment in subsidiary companies		(200)	(60,000)
Profit on disposal of property, plant and equipment		(1,421)	-
Amortisation of intangible assets		<u>2,778</u>	<u>-</u>
Operating profit before working capital changes		193,853	247,997
Trade and other receivables		(46,981)	(9,318)
Related parties balances		613	(80,801)
Inventories		14,459	(85,462)
Trade and other payables		243,947	(106,162)
Deferred revenue		<u>18,738</u>	<u>801</u>
Net cash generated from operating activities		<u>424,629</u>	<u>(32,945)</u>
INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(26,386)	(15,846)
Proceeds from disposal of property and equipment		1,421	-
Purchase of intangible assets		<u>(29,124)</u>	<u>-</u>
Net cash used in investing activities		<u>(54,089)</u>	<u>(15,846)</u>
FINANCING ACTIVITIES			
Repayments on long term borrowing		(340,000)	(150,430)
Proceeds from debenture loan		<u>-</u>	<u>185,437</u>
Net cash (used)/generated from financing activities		<u>(340,000)</u>	<u>35,007</u>
NET DECREASE IN CASH AND CASH EQUIVALENTS		30,540	(13,784)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		<u>46,381</u>	<u>60,165</u>
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	27	<u>76,921</u>	<u>46,381</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

1. GENERAL INFORMATION

Uchumi Supermarkets Limited (in Receivership) is incorporated in Kenya under the Kenyan Companies Act. The company operates retail supermarkets in Kenya and Uganda.

The company's shares are currently suspended from trading at the Nairobi Stock Exchange after it was placed under receivership on 2 June 2006.

2. ACCOUNTING POLICIES

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied, unless otherwise stated.

a) Basis of preparation

The consolidated financial statements are prepared on the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings (KShs) and all values are rounded to the nearest thousands (KShs '000') except when otherwise stated.

b) Statement of compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) as issued by the International Accounting Standards Board (IASB).

c) Consolidation of financial statements

Subsidiaries are all entities over which the company has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are de-consolidated from the date control ceases.

The consolidated financial statements of the group comprise the financial statements of the company and its subsidiaries at the end of the reporting period.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

The accounting policies for the subsidiaries are consistent with the policies adopted by the company.

c) Critical accounting estimates, judgements and assumptions

In the process of applying the company's accounting policies, the Specialist Receiver Manager make certain estimates, judgements and assumptions about future events. In practice, the estimated and assumed results would differ from the actual results. Such estimates and assumptions, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below:

Property, plant and equipment

The Specialist Receiver Manager makes estimates in determining the depreciation rates for property and equipment. The rates used are set out in the accounting policy for property, plant and equipment.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES

c) Critical accounting estimates, judgements and assumptions (Continued)

These estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the prevailing circumstances.

Impairment of non-financial assets

The company assesses whether there are any indicators of impairment for all non-financial assets at each reporting date. Non-financial assets are tested for impairment when there are indicators that the carrying amounts may not be recoverable.

Deferred tax assets

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Allowances for obsolete inventories

The Specialist Receiver Manager review the inventories on an annual basis to assess the likelihood of obsolescence. In determining whether an inventory item is obsolete, the Specialist Receiver Manager make judgement as to whether the inventory item can be used as an input in production or is in saleable condition.

Allowances for credit losses

The company reviews its receivables' portfolio regularly to assess the likelihood of impairment. This requires an estimation of the amounts that are irrecoverable.

d) New accounting standards, amendments and interpretations

The group has adopted IFRIC 13, Customer Loyalty Programmes, which was issue in June 2007 and effective for accounting periods beginning 1 July 2008. This interpretation requires customer loyalty credits to be accounted for as a separate component of the sales transaction in which they are granted. A portion of the fair value of the consideration received is allocated to award credits and deferred. This is then recognized as revenue over the period that the award credits are redeemed.

Prior to adoption of IFRIC 13, the group maintained a loyalty programme and recorded a liability which approximated the deferred income had IFRIC 13 been applied. The strict adoption of IFRIC 13 has not led to a prior year adjustment but restatement of balances has been done.

The following standards, amendments and interpretations are mandatory for accounting periods beginning on or 1 July 2008 but are not relevant to the group's operations:

- Amendments to IAS 39 Financial Instruments: Recognition and Measurement and IFRS 7 Financial Instruments: Disclosures - Reclassification of Financial Assets. The amendments allow entities to reclassify certain financial assets out of held-for-trading if they are no longer held for the purpose of being sold or repurchased in the near term. Financial assets that would be eligible for classification as loans and receivables (those assets which, apart from not being held with the intent of sale in the near term, have fixed or determinable payments, are not quoted in an active market and contain no features which could cause the holder not to recover substantially all of its initial investment except through credit deterioration) may be transferred from 'Held-for-trading' to 'Loans and receivables', if the entity has the intention and the ability to hold them for the foreseeable future. Financial assets that are not eligible for classification as loans and receivables, may be transferred from 'Held-for-trading' to 'Available-for-sale' or to 'Held-to-maturity', only in rare circumstances.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

d) New accounting standards, amendments and interpretations (Continued)

- The amendment requires detailed disclosures relating to such reclassifications. The effective date of the amendment is 1 July 2008 and reclassifications before that date are not permitted.
- IFRIC 11 IFRS 2 - Group and Treasury Share Transactions - This interpretation requires arrangements whereby an employee is granted rights to an entity's equity instruments to be accounted for as an equity-settled scheme, even if the entity buys the instruments from another party, or the shareholders provide the equity instruments needed.
- IFRIC 12, Service Concession Agreements. This interpretation applies to service concession operators and explains how to account for the obligations undertaken and rights received in service concession arrangements.
- IFRIC 14, IAS 19 - The limit on a defined benefit asset, minimum funding requirements and their interaction. IFRIC 14 provides guidance on how to assess the limit on the amount of surplus in a defined benefit scheme that can be recognised as an asset under IAS 1 Employee Benefits.

Standards, Amendments and Interpretations that have been issued and are not yet effective.

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective and which the group has not early adopted:

- IFRS 2 amendments - Share based payment - vesting conditions and cancellations (effective from 1 January 2009); the IASB issued an amendment to IFRS 2 in January 2008 that clarifies the definition of a vesting condition and prescribes the treatment for an award that is effectively cancelled.
- IFRS 3 revised -Business combinations and IAS 27 revised -Consolidated and Separate Financial Statements. The revised standards were issued in January 2008 and become effective for financial years beginning on or after 1 July 2009. IFRS 3R introduces a number of changes in the accounting for business combinations occurring after this date that will impact the amount of goodwill recognised, the reported results in the period that an acquisition occurs, and future reported results. IAS 27R requires that a change in the ownership interest of a subsidiary (without loss of control) is accounted for as an equity transaction. Therefore, such transactions will no longer give rise to goodwill, nor will it give rise to a gain or loss. Furthermore, the amended standard changes the accounting for losses incurred by the subsidiary as well as the loss of control of a subsidiary. Other consequential amendments were made to IAS 7 Statement of Cash Flows, IAS 12 Income Taxes, IAS 21 The Effects of Changes in Foreign Exchange Rates, IAS 28 Investment in Associates and IAS 31 Interests in Joint Ventures. The changes by IFRS 3R and IAS 27R will affect future acquisitions or loss of control and transactions with minority interests. The standards may be early adopted. However, the company does not intend to take such possibility.
- IFRS 8 - Operating segments (effective from 1 January 2009); the IASB issued IFRS 8 in November 2006. IFRS 8 replaces IAS 14 Segment Reporting (IAS 14) upon its effective date.
- IAS 1 revised - Presentation of financial statements; the revised Standard was issued in September 2007 and becomes effective for financial years beginning on or after 1 January 2009. The Standard separates owner and non-owner changes in equity. The statement of changes in equity will include only details of transactions with owners, with non-owner changes in equity presented as a single line. In addition, the Standard introduces the statement of comprehensive income; it presents all items of recognised income and expense, either in one single statement, or in two linked statements.
- IAS 23 revised - Borrowing costs (effective from 1 January 2009); the IASB issued an amendment to IAS 23 in April 2007. The revised IAS 23 requires capitalisation of borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

d) New accounting standards, amendments and interpretations (Continued)

- IAS 32 amendments - Presentation and IAS 1 presentation of financial statements; puttable Financial Instruments and Obligations Arising on Liquidation - These amendments to IAS 32 and IAS 1 were issued in February 2008 and become effective for financial years beginning on or after 1 January 2009. The revisions provide a limited scope exception for puttable instruments to be classified as equity if they fulfil a number of specified features.
- IAS 39 amendment - Financial instruments: Recognition and measurement - eligible hedged items; These amendments to IAS 39 were issued in August 2008 and become effective for financial years beginning on or after 1 July 2009. The amendment addresses the designation of a one-sided risk in a hedged item, and the designation of inflation as a hedged risk or portion in particular situations. It clarifies that an entity is permitted to designate a portion of the fair value changes or cash flow variability of a financial instrument as hedged item.
- IFRIC 15 - Agreements for the construction of real estate IFRIC 15 was issued in July 2008 and becomes effective for financial years beginning on or after 1 January 2009. The interpretation is to be applied retrospectively. It clarifies when and how revenue and related expenses from the sale of a real estate unit should be recognised if an agreement between a developer and a buyer is reached before the construction of the real estate is completed. Furthermore, the interpretation provides guidance on how to determine whether an agreement is within the scope of IAS 11 or IAS 18; and
- IFRIC 16 - Hedges of a net investment in a foreign operation (IFRIC 16 was issued in July 2008 and becomes effective for financial years beginning on or after 1 October 2008. The interpretation is to be applied prospectively. IFRIC 16 provides guidance on the accounting for a hedge of a net investment. As such it provides guidance on identifying the foreign currency risks that qualify for hedge accounting in the hedge of a net investment, where within the group the hedging instruments can be held in the hedge of a net investment and how an entity should determine the amount of foreign currency gain or loss, relating to both the net investment and the hedging instrument, to be recycled on disposal of the net investment.
- IFRIC 17 - Distributions of non-cash assets to owners (effective from July 1, 2009). This Interpretation applies to the accounting for transfers of items of property, plant and equipment by entities that receive such transfers from their customers.
- IFRIC 18 - transfers of assets from customers (effective from July 1, 2009). This Interpretation applies to the accounting for transfers of items of property, plant and equipment by entities that receive such transfers from their customers.

The Specialist Receiver Manager anticipate that the adoption of these standards will have no material effect on the financial statements of the group in the period of initial application, but additional disclosures will be required.

Improvements to IFRSs

In May 2008, the Board issued its first omnibus of amendments to its standards, primarily with a view to removing inconsistencies and clarifying wording. There are separate transitional provisions for each standard. The group has not yet adopted the following amendments which are effective mostly for the financial year beginning on or after 1 January 2009 with some exception and anticipates that these changes will have no material effect on the financial statements in the period of initial application.

- IFRS 7 Financial Instruments: Disclosures: Removal of the reference to 'total interest income' as a component of finance costs.
- IAS 8 Accounting Policies, Change in Accounting Estimates and Errors: Clarification that only implementation guidance that is an integral part of an IFRS is mandatory when selecting accounting policies.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

d) New accounting standards, amendments and interpretations (Continued)

Improvements to IFRSs (Continued)

- IAS 10 Events after the Reporting Period: Clarification that dividends declared after the end of the reporting period are not obligations.
- IAS 16 Property, Plant and Equipment: Items of property, plant and equipment held for rental that are routinely sold in the ordinary course of business after rental, are transferred to inventory when rental ceases and they are held for sale.
- IAS 18 Revenue: Replacement of the term 'direct costs' with 'transaction costs' as defined in IAS 39.
- IAS 19 Employee Benefits: Revised the definition of 'past service costs', 'return on plan assets' and 'short term' and 'other long-term' employee benefits. Amendments to plans that result in a reduction in benefits related to future services are accounted for as curtailment. Deleted the reference to the recognition of contingent liabilities to ensure consistency with IAS 37.
- IAS 20 Accounting for Government Grants and Disclosures of Government Assistance: Loans granted in the future with no or low interest rates will not be exempt from the requirement to impute interest. The difference between the amount received and the discounted amount is accounted for as government grant. Also, revised various terms used to be consistent with other IFRS.
- IAS 27 Consolidated and Separate Financial Statements: When a parent entity accounts for a subsidiary at fair value in accordance with IAS 39 in its separate financial statements, this treatment continues when the subsidiary is subsequently classified as held for sale.
- IAS 28 Investments in Associates: If an associate is accounted for at fair value in accordance with IAS 39, only the requirement of IAS 28 to disclose the nature and extent of any significant restrictions on the ability of the associate to transfer funds to the entity in the form of cash or repayment of loans applies.
- IAS 29 Financial Reporting in Hyperinflationary Economies: Revised the reference to the exception to measure assets and liabilities at historical cost, such that it notes property, plant and equipment as being an example, rather than implying that it is a definitive list. Also, revised various terms used to be consistent with other IFRS.
- Interest in Joint Ventures: If a joint venture is accounted for at fair value in accordance with IAS 39, only the requirements of IAS 31 to disclose the commitments of the venturer and joint venture, as well as summary financial information about the assets, liabilities, income and expense will apply.
- IAS 34 Interim Financial Reporting: Earnings per share is disclosed in interim financial reports if an entity is within the scope of IAS 33.
- IAS 36 Impairment of Assets: when discounted cash flows are used to estimate 'fair value less cost to sell' additional disclosure is required about the discount rate, consistent with disclosures required when the discounted cash flows are used to estimate 'fair value in use'.
- IAS 38 Intangible Assets: Expenditure on advertising and promotional activities is recognised as an expense when the group either has the right to access the goods or has received the service.
- IAS 39 Financial Instruments: Recognition and Measurement: Changes in circumstances relating to derivatives are not reclassifications and therefore may be either removed from, or included in, the 'fair value through profit or loss' classification after initial recognition. Removed the reference in IAS 39 to a 'segment' when determining whether an instrument qualifies as a hedge. Require the use of the revised effective interest rate when remeasuring a debt instrument on the cessation of fair value hedge accounting.
- IAS 40 Investment Property: revision of the scope such that property under construction or development for future use as an investment property is classified as investment property. If fair value cannot be reliably determined, the investment under construction will be measured at cost until such time as fair value can be determined or construction is complete. Also, revised of the conditions for a voluntary change in accounting policy to be consistent with IAS 8 and clarified that the carrying amount of investment property held under lease is the valuation obtained increased by any recognized liability.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

d) New accounting standards, amendments and interpretations (Continued)

Improvements to IFRSs (Continued)

- IAS 41 Agriculture: removed the reference to the use of pre-tax discount rate to determine fair value. Removed the prohibition to take into account cash flows resulting any additional transformations when estimating fair value. Also, replaced of the term 'point-of-sale costs' with 'costs to sell'.

e) Revenue recognition

Sales of goods are recognised in the period in which the group delivers the product to the customer, the customer has accepted the products and the collectability of the related receivable is reasonably assured.

Sales of services are recognised in the period in which the services are rendered, by reference to the completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

Revenue represents the fair value of the consideration receivable for sales of goods and services and is stated net of Value-Added Tax (VAT), rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method.

f) Customer loyalty program

The group estimates the fair value of points earned under the loyalty points programme by applying statistical techniques. Inputs to the models include making assumptions about expected redemption rates. As points issued under the programme do not expire, such estimates are subject to significant uncertainty.

Award credits are accounted for as a separate identifiable component of sales. The fair value of the consideration received in respect of the initial sale is allocated between the award credits and other components of the sale.

g) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average cost method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

h) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation for buildings. All other property, plant and equipment are stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to the income statement. Each year, the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation surplus to retained earnings.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

j) Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprise cash at bank and in hand and short-term deposits with an original maturity of three months or less.

Cash and cash equivalents that have a fixed maturity date (less than 3 months) are subsequently measured at cost, as these are highly liquid and readily convertible.

Cash and cash equivalents that do not have fixed maturity dates are subsequently measured at amortised cost using the effective interest rate method.

For the purposes of the cash flow statement, cash and cash equivalents consist of cash and cash equivalents as defined above, net of outstanding bank overdrafts.
Bank overdrafts are disclosed separately under current liabilities.

k) Trade and other payables

Trade and other payables are carried at amortised cost using the effective interest rate method. Trade payables being short term in nature are carried at cost as the effect of imputing interest is considered to be insignificant.

l) Trade and other receivables

Receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, receivables are carried at amortised cost using the effective interest method less any allowance for impairment. Short-term receivables with no stated interest rate are measured at the original invoice amount if the effect of discounting is immaterial.

In relation to trade receivables, a provision for impairment is made when there is objective evidence (such as the probability of insolvency or significant financial difficulties of the debtor) that the company will not be able to collect all of the amounts due under the original terms of the invoice. The carrying amount of the receivable is reduced through use of an allowance account. Impaired debts are derecognised when they are assessed as uncollectible.

m) Interest-bearing loans and borrowings

All loans and borrowings are initially recognised at cost, being the fair value of the consideration received net of issue costs associated with the borrowing.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method. Amortised cost is calculated by taking into account any issue costs and any discount or premium on settlement.

n) Tax

Current corporate tax

Current corporate tax is provided on the basis of the results for the year as shown in the financial income statement, adjusted in accordance with the tax legislations and at the tax rate, enacted or substantively enacted at the balance sheet date. Corporate tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the tax authority.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

n) Tax (Continued)

Deferred income tax

Deferred income tax is provided in full, using the liability method, on all temporary differences at the balance sheet date arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit, it is not accounted for.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

Deferred income tax assets and liabilities is determined using tax rates that have been enacted or substantively enacted at the balance sheet date and are expected to apply when the asset is realised or the liability is settled.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

Value added tax

Revenues, expenses and assets are recognised net of the amount of value added tax except where the value added tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and receivables and payables that are stated with the amount of value added tax included. The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of accounts receivables or payables in the balance sheet.

o) Retirement benefit costs

The company contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs.200 per employee per month.

The company's contributions to the above scheme are charged to the income statement in the year to which they relate.

p) Employee entitlements

The monetary benefits for employees' accrued annual leave entitlement at the balance sheet date are recognised as an expense accrual.

q) Impairment of non-financial assets

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If such indication exists, the company makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognised in the income statement.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

r) Borrowing costs

Borrowing costs are recognised as an expense when incurred and measured using the effective interest rate method.

s) Provisions

Provisions are recognised when the group has a present legal or constructive obligation as a result of past events and it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

t) Leases

Finance leases, which transfer to the group substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income. Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same bases as the lease income. Operating lease payments are recognised as an expense in the income statement on a straight-line basis over the lease term.

A property interest that is held by a lessee under an operating lease may be classified and accounted for as investment property provided that the operating lease is accounted for as if it were a finance lease and the lessee uses the fair value model for the asset recognised.

u) Intangible assets and amortization

Acquired computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized using the straight-line method over a period of four years.

Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the group and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over a period of four years.

v) Cost of sales

Cost of sales includes the historical costs of inventory expensed during the year including inventory losses.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

2. ACCOUNTING POLICIES (Continued)

w) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provisions for impairment losses. Where, in the opinion of the management, there has been impairment in the value of an investment, the loss is recognized as an expense in the period in which the impairment is identified.

x) Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

y) Segmental reporting

The group presents segmental information using geographical segments format. This is based on the internal financial reporting systems and reflects the risks and earnings structure of the group.

The group operations are carried out in Kenya and Uganda.

z) Investment properties

Investment properties are measured initially at cost, including transaction costs, and excluding the costs of day to day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the balance sheet date. Gains or losses arising from changes in the fair values of investment properties are included in the income statement in the year in which they arise.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the income statement in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use.

A property interest that is held by a lessee under an operating lease may be classified and accounted for as investment property if, and only if, the property would otherwise meet the definition of an investment property and the lessee uses the fair value model to recognise the asset. This classification alternative is available on a property-by-property basis. However, once this classification alternative is selected for one such property interest held under an operating lease, all property classified as investment property shall be accounted for using the fair value model.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

3(a) PROPERTY, PLANT AND EQUIPMENT (GROUP)

At 30 June 2009:	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2008	515,009	258,719	326,420	580,152	1,680,300
Revaluations	66,873	-	-	-	66,873
Additions	-	4,975	5,742	16,704	27,421
Disposals	-	-	-	(4,671)	(4,671)
Exchange differences	-	(2,802)	(2,185)	542	(4,445)
At 30 June 2009	<u>581,882</u>	<u>260,892</u>	<u>329,977</u>	<u>592,727</u>	<u>1,765,478</u>
Comprising:					
Cost	6,882	260,892	329,977	592,727	1,190,478
Valuation	<u>575,000</u>	-	-	-	<u>575,000</u>
	<u>581,882</u>	<u>260,892</u>	<u>329,977</u>	<u>592,727</u>	<u>1,765,478</u>
DEPRECIATION					
At 1 July 2008	51,720	144,155	315,933	561,206	1,073,014
Transfer on revaluation	(46,625)	-	-	-	(46,625)
Charge for the year	9,188	26,170	6,601	22,055	64,014
Disposals	-	-	-	(4,671)	(4,671)
Exchange differences	-	(1,458)	(2,657)	(1,615)	(5,730)
At 30 June 2009	<u>14,283</u>	<u>168,867</u>	<u>319,877</u>	<u>576,975</u>	<u>1,080,002</u>
NET BOOK VALUE					
At 30 June 2009	<u>567,599</u>	<u>92,025</u>	<u>10,100</u>	<u>15,752</u>	<u>685,476</u>

In the opinion of the Specialist Receiver Manager, there was no impairment in items in property, plant and equipment.

Buildings and freehold land were valued in April 2008 by Lloyd Masika Limited, Independent professional valuers. Valuations were made on the basis of open market value. The opening book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

3(a) PROPERTY, PLANT AND EQUIPMENT (GROUP)

At 30 June 2008:	Buildings and freehold land KShs' 000	Improvements to premises KShs' 000	Plant and machinery KShs' 000	Vehicles and equipment KShs' 000	Total KShs' 000
COST OR VALUATION					
At 1 July 2007 - restated	515,009	251,422	323,105	573,247	1,662,783
Additions	-	7,096	3,080	6,772	16,948
Exchange differences	-	201	235	133	569
At 30 June 2008	<u>515,009</u>	<u>258,719</u>	<u>326,420</u>	<u>580,152</u>	<u>1,680,300</u>
Comprising:					
Cost	6,882	258,719	326,420	580,152	1,172,173
Valuation	<u>508,127</u>	-	-	-	<u>508,127</u>
	<u>515,009</u>	<u>258,719</u>	<u>326,420</u>	<u>580,152</u>	<u>1,680,300</u>
DEPRECIATION					
At 1 July 2007	39,032	114,357	298,674	514,031	966,094
Charge for the year	12,688	29,515	16,886	46,888	105,977
Exchange differences	-	283	373	287	943
At 30 June 2008	<u>51,720</u>	<u>144,155</u>	<u>315,933</u>	<u>561,206</u>	<u>1,073,014</u>
NET BOOK VALUE					
At 30 June 2008	<u>463,289</u>	<u>114,564</u>	<u>10,487</u>	<u>18,946</u>	<u>607,286</u>

In the opinion of the Specialist Receiver Manager, there was no impairment in items in property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

3(b) PROPERTY, PLANT AND EQUIPMENT (COMPANY)

At 30 June 2009:	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2008	515,009	216,611	277,208	551,664	1,560,492
Revaluations	66,873	-	-	-	66,873
Additions	-	4,975	5,526	15,885	26,386
Disposals	-	-	-	(4,671)	(4,671)
At 30 June 2009	<u>581,882</u>	<u>221,586</u>	<u>282,734</u>	<u>562,878</u>	<u>1,649,080</u>
Comprising:					
Cost	6,882	221,586	282,734	562,878	1,074,080
Valuation	<u>575,000</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>575,000</u>
	<u>581,882</u>	<u>221,586</u>	<u>282,734</u>	<u>562,878</u>	<u>1,649,080</u>
DEPRECIATION					
At 1 July 2008	51,720	119,324	273,122	535,237	979,403
Charge for the year	9,188	22,202	4,372	21,148	56,910
Transfer on revaluation	(46,625)	-	-	-	(46,625)
Disposals	-	-	-	(4,671)	(4,671)
At 30 June 2009	<u>14,283</u>	<u>141,526</u>	<u>277,494</u>	<u>551,714</u>	<u>985,017</u>
NET BOOK VALUE					
At 30 June 2009	<u>567,599</u>	<u>80,060</u>	<u>5,240</u>	<u>11,164</u>	<u>664,063</u>

In the opinion of the Specialist Receiver Manager, there was no impairment in items in property, plant and equipment.

Buildings and freehold land were valued in April 2008 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

3(b) PROPERTY, PLANT AND EQUIPMENT (COMPANY)

At 30 June 2008:	Buildings and freehold land KShs' 000	Improvements to premises KShs' 000	Plant and machinery KShs' 000	Vehicles and Equipment KShs' 000	Total KShs' 000
COST OR VALUATION					
At 1 July 2007 - restated	515,009	209,515	274,358	545,764	1,544,646
Additions	-	7,096	2,850	5,900	15,846
At 30 June 2008	<u>515,009</u>	<u>216,611</u>	<u>277,208</u>	<u>551,664</u>	<u>1,560,492</u>
Comprising:					
Cost	6,882	216,611	277,208	551,664	1,052,365
Valuation	<u>508,127</u>	-	-	-	<u>508,127</u>
	<u>515,009</u>	<u>216,611</u>	<u>277,208</u>	<u>551,664</u>	<u>1,560,492</u>
DEPRECIATION					
At 1 July 2007	39,032	95,752	261,312	495,676	891,772
Charge for the year	<u>12,688</u>	<u>23,572</u>	<u>11,810</u>	<u>39,561</u>	<u>87,631</u>
At 30 June 2008	<u>51,720</u>	<u>119,324</u>	<u>273,122</u>	<u>535,237</u>	<u>979,403</u>
NET BOOK VALUE					
At 30 June 2008	<u>463,289</u>	<u>97,287</u>	<u>4,086</u>	<u>16,427</u>	<u>581,089</u>

In the opinion of the Specialist Receiver Manager, there was no impairment in items in property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

4. INVESTMENT PROPERTIES	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
At 1 July	-	-	-	-
Transfers from operating lease rentals (note 6)	101,295	-	-	-
Accumulated gain in fair value up to 1 July 2008	<u>348,705</u>	-	-	-
Balance as at 1 July 2008	450,000	-	-	-
Changes in fair value during the year	-	-	-	-
At 30 June 2009	<u>450,000</u>	-	-	-

Investment properties relate to two pieces of leasehold land held by the company's subsidiary, Kasarani Mall Limited, under long-term lease arrangements. The land was valued at KShs.450 million by Kiragu & Mwangi Limited, accredited independent valuers, as at 30 June 2009. The present value of the ground rent obligations is immaterial and thus, the valuation amount of KShs.450 million is equivalent to the fair values of these properties. Comparative information has not been restated since the company has not previously disclosed publicly the fair value of the leasehold land in the financial statements.

5. INTANGIBLE ASSETS	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Additions	29,124	-	29,124	-
Amortisation charge for the year	<u>(2,778)</u>	-	<u>(2,778)</u>	-
At 30 June	<u>26,346</u>	-	<u>26,346</u>	-

Intangible asset relate to the computer software acquisition costs.

6. PREPAID OPERATING LEASE RENTALS				
Balance brought forward- restated	122,121	123,531	20,826	21,097
Reclassifications to investment property (note 4)	(101,295)	-	-	-
Amortisation charge for the year	<u>(271)</u>	<u>(1,410)</u>	<u>(271)</u>	<u>(271)</u>
At 30 June	<u>20,555</u>	<u>122,121</u>	<u>20,555</u>	<u>20,826</u>

7. INVESTMENTS IN SUBSIDIARIES			2009	2008
	Country of incorporation	Shareholding	KShs'000	KShs'000
Uchumi Supermarkets (Uganda) Limited	Uganda	100%	60,000	60,000
Kasarani Mall Limited	Kenya	100%	<u>200</u>	<u>200</u>
			60,200	60,200
Less: Provision for impairment			-	<u>(200)</u>
			<u>60,200</u>	<u>60,000</u>

7. INVESTMENTS IN SUBSIDIARIES (Continued)

The principal activity of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited is operation of retail supermarkets and property management, respectively.

The results of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited have been consolidated in the financial statements. There are other wholly owned subsidiaries, Uchumi Supermarkets (Tanzania) Limited and Uchumi Holdings Limited, incorporated in Tanzania and Kenya, respectively, which have each issued two shares at nominal amounts. These subsidiaries did not have any transactions during the year.

	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
8. DEFERRED TAX				
Deferred tax asset is attributable to the following items:				
Tax losses carried forward	189,600	-	189,600	-
Excess of depreciation over tax allowances	40,875	-	40,875	-
Other temporary differences	<u>20,233</u>	-	<u>20,233</u>	-
Income statement movement	250,708	-	250,708	-
Revaluation surplus transferred to equity	<u>(34,049)</u>	-	<u>(34,049)</u>	-
	<u>216,659</u>	-	<u>216,659</u>	-
9. INVENTORIES				
Food	253,615	263,688	226,501	202,520
Non-food	159,334	154,966	142,750	154,976
Other	<u>244,237</u>	<u>259,602</u>	<u>221,553</u>	<u>259,488</u>
	657,186	678,256	590,804	616,984
Provisions for obsolescence	<u>(49,237)</u>	<u>(55,772)</u>	<u>(44,062)</u>	<u>(55,783)</u>
	<u>607,949</u>	<u>622,484</u>	<u>546,742</u>	<u>561,201</u>
10. TRADE AND OTHER RECEIVABLES				
Trade receivables	61,657	69,755	44,010	54,221
Provision of credit losses	<u>(22,932)</u>	<u>(20,786)</u>	<u>(20,879)</u>	<u>(20,174)</u>
	38,725	48,969	23,131	34,047
Prepayments and other receivables	<u>181,155</u>	<u>77,651</u>	<u>147,510</u>	<u>89,613</u>
	<u>219,880</u>	<u>126,620</u>	<u>170,641</u>	<u>123,660</u>

The above trade receivables have no collateral and are non-interest bearing. All trade receivables above 60 days are deemed past due and are collectively assessed as impaired.

11. RELATED PARTY TRANSACTIONS

The group is related to various other entities through common shareholding and/or directorships. The following balances relating to transactions entered into with related parties arising from sale and purchase of goods/ services were outstanding at year end:

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

11. RELATED PARTY TRANSACTIONS (Continued)	Group		Company	
	2009 KShs'000	2008 KShs'000	2009 KShs'000	2008 KShs'000
i) Amounts due from related parties:				
Uchumi Supermarkets (Uganda) Limited	-	-	144,929	139,410
Kasarani Mall Limited	-	-	<u>110,511</u>	<u>110,511</u>
	-	-	<u>255,440</u>	<u>249,921</u>
ii) Amounts due to related parties:				
Industrial and Commercial Development Company (ICDC)	1,869	1,869	1,869	1,869
KWA Holdings E.A Limited	<u>12,225</u>	<u>6,093</u>	<u>12,225</u>	<u>6,093</u>
	<u>14,094</u>	<u>7,962</u>	<u>14,094</u>	<u>7,962</u>
iii) Salaries and gratuity	<u>39,044</u>	<u>40,359</u>	<u>39,044</u>	<u>40,359</u>
During the year, KWA Holding E.A Ltd traded with the company in the normal course of business. In addition, the company charged Uchumi Supermarket Uganda Limited for salaries of staff seconded to the subsidiary. During the year, the company did not transact with Kasarani Mall Limited and ICDC.				
12. INCOME TAX	Group		Company	
	2009 KShs'000	2008 KShs'000	2009 KShs'000	2008 KShs'000
12.1 BALANCE SHEET				
Balance brought forward	115	11,147	115	11,147
Under-provision in previous years	-	<u>(11,032)</u>	-	<u>(11,032)</u>
At 30 June	<u>115</u>	<u>115</u>	<u>115</u>	<u>115</u>
12.2 INCOME STATEMENT				
Under-provision in previous years	-	11,032	-	11,032
Deferred tax credit	<u>(250,708)</u>	-	<u>(250,708)</u>	-
	<u>(250,708)</u>	<u>11,032</u>	<u>(250,708)</u>	<u>11,032</u>
There is no corporation tax charge due to accumulated tax losses brought forward.				
13. SHARE CAPITAL			2009 KShs'000	2008 KShs'000
Authorised:				
300,000,000 ordinary shares of KShs.5 each			1,500,000	1,500,000
25,000,000 preference shares of KShs.20 each			<u>500,000</u>	<u>500,000</u>
			<u>2,000,000</u>	<u>2,000,000</u>
Issued and fully paid:				
180,000,000 ordinary shares of Shs.5 each			<u>900,000</u>	<u>900,000</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

14. RESERVES	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Accumulated losses	(1,942,158)	(2,712,768)	(2,162,823)	(2,550,321)
Share premium	662,882	662,882	662,882	662,882
Revaluation reserve	215,526	137,352	215,526	137,352
Translation reserve	(16,745)	(12,597)	-	-
	<u>(1,080,495)</u>	<u>(1,925,131)</u>	<u>(1,284,415)</u>	<u>(1,750,087)</u>

The revaluation reserve represents the surplus on the revaluation of buildings and freehold land net of deferred income tax. The reserve is non-distributable.

The translation reserve arises from translation of the net investment in Uchumi Supermarkets (Uganda) Limited.

15. LOANS	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Borrowings are made up as follows:				
a) Non-current				
Term loan	<u>820,089</u>	<u>1,180,089</u>	<u>820,089</u>	<u>1,180,089</u>
b) Current				
Bank overdraft	84,967	12,980	84,967	12,980
Debenture loan	207,437	207,437	207,437	207,437
Term loan	<u>360,000</u>	<u>340,000</u>	<u>360,000</u>	<u>340,000</u>
	<u>652,404</u>	<u>560,417</u>	<u>652,404</u>	<u>560,417</u>
	<u>1,472,493</u>	<u>1,740,506</u>	<u>1,472,493</u>	<u>1,740,506</u>
Maturity profile of non-current borrowings				
Between 1 and 2 years	360,000	360,000	105,089	360,000
Between 2 and 5 years	61,929	105,089	40,000	105,089
Over 5 years	<u>398,160</u>	<u>715,000</u>	<u>675,000</u>	<u>715,000</u>
	<u>820,089</u>	<u>1,180,089</u>	<u>820,089</u>	<u>1,180,089</u>
Term Loan				
Non-current				
Eastern and Southern African Trade and Development Bank	20,715	200,715	20,715	200,715
Centum Investment Company Limited	40,000	40,000	40,000	40,000
Kenya Commercial Bank Limited	84,374	264,374	84,374	264,374
Government loan	<u>675,000</u>	<u>675,000</u>	<u>675,000</u>	<u>675,000</u>
	<u>820,089</u>	<u>1,180,089</u>	<u>820,089</u>	<u>1,180,089</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
 NOTES TO THE FINANCIAL STATEMENTS (Continued)
 FOR THE YEAR ENDED 30 JUNE 2009

15. LOANS (Continued)

Term Loan (Continued)

Current

Eastern and Southern African Trade
 and Development Bank
 Kenya Commercial Bank Limited

180,000	170,000	180,000	170,000
<u>180,000</u>	<u>170,000</u>	<u>180,000</u>	<u>170,000</u>
<u>360,000</u>	<u>340,000</u>	<u>360,000</u>	<u>340,000</u>

The debenture loan was obtained from shareholders and suppliers in 2007 and attracts interest at a rate of 3% p.a. The debenture loans previously had a maturity date of 23 August 2007, however, after a meeting with shareholders, management expects the debenture holders to convert the debenture into equity.

The loan from Kenya Commercial Bank matures on 31 December 2011. The term loan from Eastern and Southern Africa Trade and Development Bank is repayable over a period of six years ending 31 August 2011. The government loan was effective for 36 months ending November 2009. However, the government being part of the recapitalization committee has indicated willingness to convert the loan to equity should the shareholders fail to inject enough additional capital by the next financial year.

The above borrowings (current and non-current) are secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over stocks and debtors.

The weighted average effective interest rate at year-end was:

	2009	2008
Term loan	11.67%	10.65%
Bank overdrafts	9.56%	10.50%

In the opinion of the Specialist Receiver Manager, the carrying amounts of borrowings approximate to their fair values. Fair values are based on discounted cash flows using a discount rate based on the borrowing rate that management expect would be available to the group at the balance sheet date.

16. TRADE AND OTHER PAYABLES

	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Trade payables	881,015	681,391	770,383	577,239
Accrued expenses	92,824	85,228	89,607	62,478
Other payables	<u>123,177</u>	<u>99,503</u>	<u>123,177</u>	<u>99,503</u>
	<u>1,097,016</u>	<u>866,122</u>	<u>983,167</u>	<u>739,220</u>

Trade payables are non-interest bearing and are normally settled within 60 days.

17. DEFERRED REVENUE

Balance brought forward	18,572	17,771	18,572	17,771
Deferred during the year	49,360	35,444	49,360	35,444
Released to the income statement	<u>(30,622)</u>	<u>(34,643)</u>	<u>(30,622)</u>	<u>(34,643)</u>
At 30 June	<u>37,310</u>	<u>18,572</u>	<u>37,310</u>	<u>18,572</u>

Deferred revenue represents fair value of the consideration received from customer's loyalty points (note 2(f)).

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

18. BANK OVERDRAFT

The bank overdraft is secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over inventory and debtors.

19. SALES	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Food	5,429,652	4,471,322	4,846,515	3,936,957
Personal care	1,581,085	1,306,860	1,411,279	1,146,495
General merchandise	1,100,653	897,762	982,444	787,597
Textiles	<u>90,831</u>	<u>81,767</u>	<u>81,076</u>	<u>71,734</u>
	<u>8,202,221</u>	<u>6,757,711</u>	<u>7,321,314</u>	<u>5,942,783</u>
20. COST OF SALES	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Food	4,481,083	3,649,632	4,001,314	3,210,040
Personal care	1,312,395	1,049,018	1,171,362	924,624
General merchandise	872,964	774,260	779,153	682,447
Textiles	<u>83,696</u>	<u>79,992</u>	<u>74,702</u>	<u>70,506</u>
	<u>6,750,138</u>	<u>5,552,902</u>	<u>6,026,531</u>	<u>4,887,617</u>
21. OTHER INCOME	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Promotions income	74,125	44,075	49,395	44,075
Profit on disposal of property, plant and equipment	1,421	-	1,421	-
Reversal of impairment of investment in Uchumi Supermarkets (Uganda) Limited	-	-	-	138,061
Speciality shop income	130,257	108,548	130,257	108,548
Miscellaneous income	<u>60,906</u>	<u>156,956</u>	<u>50,608</u>	<u>129,521</u>
	<u>266,709</u>	<u>309,579</u>	<u>231,681</u>	<u>420,205</u>
22. ADMINISTRATION AND ESTABLISHMENT EXPENSES	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Employee benefits (Note 28)	364,058	281,128	333,965	255,108
Establishment costs	495,972	421,997	420,314	340,885
Computer expenses	19,934	13,536	19,249	12,811
Motor running expenses	16,727	20,557	16,727	15,589
Auditors' remuneration	6,978	6,796	5,250	5,000
Consultancy fees	19,242	27,146	18,905	26,043
Credit card commission	23,305	18,904	23,305	18,904
Bank charges and commission	13,045	1,918	12,764	1,918
Amortisation of intangible assets	2,778	-	2,778	-
Amortisation of operating lease rentals	271	1,410	271	271
Depreciation of property and equipment	64,014	105,977	56,910	87,631
General expenses	<u>277,124</u>	<u>268,032</u>	<u>248,083</u>	<u>257,143</u>
	<u>1,303,448</u>	<u>1,167,401</u>	<u>1,158,521</u>	<u>1,021,303</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2009

23. SELLING AND DISTRIBUTION	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Marketing expenses	<u>115,560</u>	<u>107,007</u>	<u>102,566</u>	<u>99,020</u>

24. FINANCE COSTS	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Interest - bank overdraft	12,278	18,915	12,278	18,915
Interest - unsecured loans	66,882	28,746	66,882	28,746
Interest - secured loans	60,853	105,108	60,853	106,182
Interest - debenture	20,471	11,516	20,471	11,516
Debenture issue expenses	<u>-</u>	<u>4,237</u>	<u>-</u>	<u>4,237</u>
	<u>160,484</u>	<u>168,522</u>	<u>160,484</u>	<u>169,596</u>

25. PROFIT BEFORE TAX

The profit before tax is stated after charging:-

Depreciation of property, plant and equipment	64,014	105,977	56,910	87,631
Amortisation of intangible assets	2,778	-	2,778	-
Amortisation of operating lease rentals	271	1,410	271	271
Auditors' remuneration	6,978	6,796	5,250	5,000
Staff costs:				
Salaries and wages	361,974	279,515	332,037	253,495
Pension costs	<u>2,084</u>	<u>1,613</u>	<u>1,928</u>	<u>1,613</u>

26. EARNINGS PER SHARE

The earnings per share is calculated on the profit after tax and on the number of ordinary shares in issue during the year, as follows:-

	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Profit for the year	<u>420,630</u>	<u>95,069</u>	<u>386,223</u>	<u>209,063</u>
Number of ordinary shares	<u>180,000</u>	<u>180,000</u>	<u>180,000</u>	<u>180,000</u>
Profit per share	<u>2.34</u>	<u>0.53</u>	<u>2.15</u>	<u>1.16</u>

27. CASH AND CASH EQUIVALENTS

For the purposes of the cash flow statement, cash and cash equivalents comprise of the following at 30 June:

	Group		Company	
	2009	2008	2009	2008
	KShs'000	KShs'000	KShs'000	KShs'000
Bank and cash balances	113,438	107,405	61,888	37,361
Short term deposits	100,000	22,000	100,000	22,000
Bank overdraft	<u>(84,967)</u>	<u>(12,980)</u>	<u>(84,967)</u>	<u>(12,980)</u>
	<u>128,471</u>	<u>116,425</u>	<u>76,921</u>	<u>46,381</u>

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27. CASH AND CASH EQUIVALENTS (Continued)

Short term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Group, and earn interest at a rate of 7% (2008:7%)

28. EMPLOYEE BENEFITS	Group 2009 KShs'000	KSh	Company 2009 KShs'000	2008 KShs'000
Salaries	333,939	262,371	306,336	238,088
Medical	10,199	3,180	9,356	2,886
Pension	2,084	1,778	1,912	1,613
Other	<u>17,836</u>	<u>13,799</u>	<u>16,361</u>	<u>12,521</u>
	<u>364,058</u>	<u>281,128</u>	<u>333,965</u>	<u>255,108</u>

29. SEGMENT INFORMATION

	Kenya Kshs'000	Uganda Kshs'000	Group Kshs'000
<i>Year ended 30 June 2009:</i>			
Revenue	<u>7,351,936</u>	<u>880,907</u>	<u>8,232,843</u>
Operating profit	<u>386,223</u>	<u>34,407</u>	<u>420,630</u>
Current assets	879,386	161,996	1,041,382
Non-current assets	<u>1,377,622</u>	<u>21,414</u>	<u>1,399,036</u>
Total segment assets	<u>2,257,008</u>	<u>183,410</u>	<u>2,440,418</u>
Current liabilities	1,686,975	113,849	1,800,824
Non current liabilities	<u>820,089</u>	-	<u>820,089</u>
Total segment liabilities	<u>2,507,064</u>	<u>113,849</u>	<u>2,620,913</u>
<i>Year ended 30 June 2008:</i>			
Revenue	<u>5,977,426</u>	<u>814,928</u>	<u>6,792,354</u>
Operating (loss)/ profit	<u>69,864</u>	<u>25,205</u>	<u>95,069</u>
Current assets	744,334	134,290	878,624
Non-current assets	<u>703,210</u>	<u>26,197</u>	<u>729,407</u>
Total segment assets	<u>1,447,544</u>	<u>160,487</u>	<u>1,608,031</u>
Current liabilities	1,326,171	126,902	1,453,073
Non current liabilities	<u>1,180,089</u>	-	<u>1,180,089</u>
Total segment liabilities	<u>2,506,260</u>	<u>126,902</u>	<u>2,633,162</u>

Sales revenue is based on the country in which the sales took place. Total assets are shown by the geographical area in which the assets are located. Both geographical segments are involved in the operation of retail supermarkets.

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash and exclude investments and amounts due from subsidiaries.

29. SEGMENT INFORMATION (Continued)

Segment liabilities consist of operating liabilities and exclude items such as dividends payable and amounts due to the parent company.

30. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The group activities expose it to a variety of financial risks, including credit risk, foreign currency exchange rates risk, liquidity risk and interest rates risk. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by management headed by the Specialist Receiver Manager.

The group maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the group does not speculate or trade in derivative financial instruments.

Interest rate risk

Interest rate risk is the risk that the future profitability and/or cash flows of financial instruments will fluctuate because of changes in the market interest rates.

The group's exposure to the risk of changes in market interest rates relates primarily to the group's long and short term obligations with floating interest rates.

Interest margin may increase as a result of changes in the prevailing levels of base rates applied by Kenya Commercial Bank Limited, Eastern and Southern African Trade and Development Bank, Centum Investment Company Limited, debenture holders and the Government of Kenya based on lending covenants entered into with the company. The balances outstanding as at 30 June 2009 are disclosed under note 15.

The group's exposure to the risks associated with changes in interest rates is minimal as its borrowings are pegged to interest rates that were agreed in advance and do not change regularly. In light of this, the Specialist Receiver Manager is of the opinion that any sensitivity analysis with respect to the interest rate risk would be unrepresentative.

Foreign currency exchange risk

The group's policy is to record transactions in foreign currencies at the rate in effect at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the rate of exchange in effect at the balance sheet date. All gains or losses on changes in currency exchange rates are accounted for in the income statement. The group operates wholly within Kenya and Uganda and its assets and liabilities are mainly denominated in local currencies. Consequently, the group's exposure to exchange risk is minimal. In light of this, the Specialist Receiver Manager is of the opinion that any sensitivity analysis with respect to the foreign exchange exposure would be unrepresentative.

Credit risk

The largest concentration of credit exposure within the group relate to cash held with banks and accounts receivable. The group has policies in place to ensure that services are provided to customers with an appropriate credit history. In addition, the group only deals with financial institutions which have a strong credit rating. The Specialist Receiver Manager has the responsibility of managing the company's credit risk.

30. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Credit risk (Continued)

The amount that best represents the company's maximum exposure to the credit risk as at 30 June 2009 is made up as follows:

	Group 2009	2008	Company 2009	2008
Bank balance	104,037	98,116	51,512	28,072
Short term deposits	100,000	22,000	100,000	22,000
Trade and other receivables	219,880	126,620	170,641	123,660
Amounts due from related parties	-	-	255,440	249,921
	<u>423,917</u>	<u>246,736</u>	<u>577,593</u>	<u>423,653</u>

Short term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the company, and earn interest at the rate of 7% (2008: 7%).

Liquidity risk

Liquidity risk concerns the ability of the group to fulfill its financial obligations as they become due. The group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation.

The group maintains a portfolio of short-term liquid assets, largely made up of bank balances and short term deposits to ensure that sufficient liquidity is maintained within the group as a whole. The group also arranges for short-term borrowings to ensure that the group's financial obligations are met.

Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the group's processes, personnel, technology and infrastructure and from external factors other than credit, interest rate, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the group's operations and are faced by all business units.

The group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. This responsibility is supported by the development of overall group standards for the management of operational risk in the following areas:

- Requirements for appropriate segregation of duties, including the independent authorisation of transactions.
- Requirements for the reconciliation and monitoring of transactions.
- Compliance with regulatory and other legal requirements.
- Documentation of controls and procedures.
- Requirements for the yearly assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified.
- Requirements for the reporting of operational losses and proposed remedial action.

30. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Operational risk (Continued)

- Development of contingency plans.
- Training and professional development.
- Ethical and business standards.
- Risk mitigation, including insurance where this is effective.

31. CAPITAL MANAGEMENT

The group is currently under receivership and has negative capital. However, its objectives when managing capital are to safeguard its ability to continue as a going concern and ultimately build an optimal capital structure to reduce the cost of capital and to get out of receivership. In order to maintain or adjust the capital structure, the group may adjust the level of borrowings or shareholders equity or sell assets to reduce debt. Some of the strategies currently in place to address the capital adequacy challenges are tabulated in note 33.

The group manages the following components as part of capital

	2009 KShs '000'	2008 KShs '000'
Share capital	900,000	900,000
Reserves	(1,080,495)	(1,903,999)
Term loans - non current	(820,089)	(1,180,089)
Term loans - current	(360,000)	(340,000)
Debenture loans	<u>(207,437)</u>	<u>(204,437)</u>
	<u>(1,568,021)</u>	<u>(2,728,525)</u>

32. CAPITAL COMMITMENTS

There were no contracted capital commitments as at 30 June 2009.

33. OPERATIONS OF THE COMPANY

As at 30 June 2009, the group's total liabilities exceeded total assets by KShs.180,495,000 (2008; KShs.1,025,131,000). The group returned to profitability in 2007 after making losses for five consecutive years. In order that the group is turned around, the Specialist Receiver Manager put in place the Uchumi Rescue Plan (URP) whose mandate is derived from a 'Framework Agreement' with the Government of Kenya and other stakeholders. The Specialist Receiver Manager has been implementing the URP since July 2006. The URP stipulates six main strategies, namely:

- i) Uphold total and sustain high customer service so as to provide a happy shopping in Kenya and the Eastern African region;
- ii) Achieve maximum sales revenue and sustain healthy benchmarked trading margins;
- iii) Implement re-engineered business structure through business reorganization to enable achievement of desired strategies and objectives with respective branches as base;
- iv) Cost management to promote business efficiency through value based management;
- v) Enhance boundaries and relationships with all stakeholders; and
- vi) Capital base enhancement - recapitalization.

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33. OPERATIONS OF THE COMPANY (Continued)

Implementation of the first five strategies mentioned above has led to a steady growth in sales revenue and profitability over the two years in receivership. The sixth strategy will eventually lead to lifting of receivership and plans for its crystallisation are under way. In a special shareholders' briefing meeting held on 28 July 2009, shareholders appreciated the fact that addressing the negative shareholders' funds was a key hurdle on the path to lifting of receivership. They, therefore, made the following declarations which the management is currently pursuing:

- vi) Shareholders are expected to cure the negative shareholders' funds by converting existing debentures into equity.
- vii) Shareholders will take the challenge to address the negative shareholders' funds and settle or reduce the outstanding loans of KShs.1.2 billion as at December 2009 owed to the Government of Kenya, PTA Bank and Kenya Commercial Bank. This includes all accrued interest as of 31 December 2009.
- viii) Shareholders endorsed the professional valuation of the company to support conversion of debentures into equity. They agreed to subscribe to additional shareholding by participating in convertible debenture issue by 31 October 2009 with a view to raising up to KShs.1.2 billion as explained in (ii) above.
- ix) In the event that there is a shortfall from the debenture exercise, shareholders endorsed that the Specialist Receiver Manager may approach the current debenture holders (Government of Kenya, PTA Bank and Kenya Commercial Bank) to consider converting their loans into equity.
- x) As a final strategy, re-open the Strategic Equity Partners' route where the above proposals do not meet the required threshold.

34. PRIOR YEAR ADJUSTMENT

The prior year adjustment relates to the recognition of the gift voucher payable which had initially not been recognised from the prior years. The effects of the restatement on the financial statements is as summarised below:

	Group Accumulated losses	Trade and other receivables
At 1 July 2008 (as previously stated)	(2,788,991)	147,752
Prior period adjustments	<u>(21,132)</u>	<u>(21,132)</u>
At 1 July 2008 (Restated)	<u>(2,810,123)</u>	<u>126,620</u>

35. OPERATING LEASE COMMITMENTS

The future minimum lease payments under non-cancellable operating leases are as follows.

	Group		Company	
	2009 KShs'000	2008 KShs'000	2009 KShs'000	2008 KShs'000
Not later than one year	257,378	239,378	220,646	202,045
Later than one year and not later than five years	999,348	957,284	836,999	794,935
Later than five years	<u>475,410</u>	<u>502,188</u>	<u>475,410</u>	<u>502,188</u>
	<u>1,732,136</u>	<u>1,698,850</u>	<u>1,533,055</u>	<u>1,499,168</u>

The group leases a number of branches and office premises under operating leases. The leases typically run for a year up to ten years, with an option to renew the lease after that date. Lease payments are increased accordingly to reflect market rentals.

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36. CONTINGENT LIABILITIES

On 2 July 2009, following a compliance check covering the period January 2006 to December 2008, the Commissioner of Domestic Taxes, Large Taxpayers Office, Kenya Revenue Authority (KRA) raised a tax assessment of KShs.23,486,955 being tax of KShs.15,801,910 and interest thereon of KShs.7,685,045. KRA alleged failure by the company to charge and remit Value Added Tax (VAT) on miscellaneous income, wrongfully disallowed VAT and input tax on furniture and fuel respectively, and wrongly disallowed VAT claimed on packaging bags relating to exempt goods.

The Specialist Receiver Manager is of the opinion that the matter will be resolved without any liability on the company and thus, no liability has been recognized in these financial statements.

The group is also a defendant in various legal actions. In the opinion of the Specialist Receiver Manager, after taking appropriate legal advice, the outcome of such actions will not give rise to any significant losses.

37. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.